

Nightlife vertical for Pay by Bank

A concise case for a go / no-go on a focused summer pilot — and the resourcing ask.

Owner: Commercial (CEO signs) • 30 May 2026 • Confidential

THE DECISION REQUESTED

Approve a focused, low-cost commercial pilot of Pay by Bank in nightlife (bars, clubs, festivals and events), in Denmark and the UK, over the summer. The pilot proves the model with live transactions before larger investment is committed — a parallel exploration alongside iGaming, not a move away from it.

The board is asked for three decisions: approve the summer pilot and its resourcing, confirm the pricing the pilot quotes, and agree that further investment depends on the pilot producing a credible lighthouse case.

ASK 1

Approve the pilot

Approve the summer pilot and its resourcing — a parallel exploration alongside iGaming, not a move away from it.

ASK 2

Confirm the pricing

Confirm the pricing the pilot quotes (standard fee and the mainstream tier), set at internal sign-off.

ASK 3

Gate the scaling

Agree that further investment depends on the pilot producing a credible lighthouse case.

The opportunity in brief

Nightlife venues sit in a high-risk card category (merchant category code 5813) that carries elevated fees, rolling reserves and chargeback exposure, with the Visa monitoring threshold tightening in April 2026 — a real, documented

operating cost. No account-to-account (A2A) provider has built a dedicated position in this segment with named customer cases, so the position is open. Aryze's A2A model removes the card chargeback and the reserve, and runs on Mastercard Open Banking rails, a credibility advantage over the early-stage competitors in the space. The full market picture is in the market assessment.

The evidence

The market facts are verified against primary and industry sources (set out in the findings memo and the market assessment): the European sector at EUR 100.6 billion, the documented high-risk cost structure, the Danish dispute regime among the strictest in the EU, and an A2A fraud rate of 0.013% (H1 2025) against 0.045% for the wider industry. What we do not yet have is primary venue-level data on volumes, real chargeback cost and actual acquirer pricing. That gap is exactly what the pilot closes.

THE MARKET

EUR 100.6 billion

The European pubs, bars and coffee shops sector.

THE FRAUD GAP

**0.013% vs
0.045%**

A2A fraud against the wider industry (H1 2025).

THREE-YEAR REVENUE

EUR 0.5m - 25m

Conservative venue-only to aggressive with platform relationships.

The commercial case in summary

The economics, set out in full in the business case, have a clear shape. Per-venue revenue is steady with fast payback, well inside fintech norms even on conservative assumptions, so venue-level activity is profitable and scales across the estate. The case becomes materially larger with a festival platform relationship — the dominant variable, and a 2027 outcome because the 2026 season is already contracted. Three-year revenue ranges from approximately EUR 0.5 million in a conservative venue-only case to EUR 25 million in an aggressive case with platform relationships. These are planning ranges the pilot will sharpen; pricing is set at internal sign-off.

Strategic rationale

Nightlife is an open, adjacent high-risk vertical with the same structural pain as iGaming and no entrenched A2A incumbent. That makes it a strong place to land a proof of concept and build a defensible position early, before any competitor establishes one. The route in is direct, owner-led and accelerated by the team's industry network, and it leads toward a wallet and loyalty layer that creates switching cost.

Risks

- The volume and revenue figures are estimates from published data, not primary venue data. The pilot is designed to close this.
- The upside rests on a festival platform relationship that is unproven for Aryze and is a 2027 timing question.
- Pricing is an assumption pending internal sign-off.
- The case scales through breadth across many venues and a platform relationship, rather than resting on any single venue.
- Being first means there is no competitor playbook to copy. The pilot is how we write it.

Recommendation

Proceed to a focused pilot, not a full rollout. The evidence supports the market and the structural fit, and the economics work on the planning assumptions. The right next step in entering a new market is a small, low-cost summer pilot in Denmark and the UK that produces a lighthouse case with real numbers. Further investment, including the larger platform and chain motion, is gated on that case.

The recommendation is to say yes to the pilot, not yes to the vertical. The pilot is what earns the larger decision.

The ask

1. Approve the summer pilot and its resourcing.

2. Confirm the pricing the pilot quotes (standard fee and the mainstream tier).
3. Agree that scaling beyond the pilot depends on a credible lighthouse case.

On approval, execution follows the sales strategy, and the pilot results return to this board for the scale decision.